

The complaint

Mr and Mrs T complain that Fairmead Insurance Limited, trading as Legal and General, (Fairmead) failed to help them to understand the extent of cover their policy provided. They felt that the terms and conditions of the policy were ambiguous and therefore needed confirmation that the policy would provide cover in the event of a flood. As the confirmation they needed couldn't be provided, Mr and Mrs T feel that the policy was mis-sold.

What happened

Mr and Mrs T had home insurance with Fairmead from February 2020. This provided them with buildings and contents cover against various insured perils. I understand that they are no longer insured with Fairmead.

In October 2021, Mr and Mrs T contacted Fairmead to make a claim for damage to a roof. Fairmead said the claim wasn't covered under the policy. So Mr and Mrs T decided to check the policy wording for flood cover. Mr and Mrs T said they live in a flood zone. But haven't been flooded yet. But they wanted to check that if there was a flood, they would be covered under their home insurance policy.

Mr and Mrs T spoke to Fairmead about the flood cover on their policy during a conversation about the failed claim. Fairmead told him that "flood" was an insured event. But that they would always have to complete a claim form to confirm cover because of any exclusions on the policy. Fairmead couldn't definitively tell Mr and Mrs T that any future flood claim would be covered. Mr and Mrs T were concerned by this response. So Fairmead arranged for them to receive a policy booklet so they could see what the policy covered.

Having reviewed the policy booklet, Mr and Mrs T felt that the policy's terms and conditions were ambiguous about whether a flood would be covered or not under the policy.

So Mr and Mrs T wrote to Fairmead to ask them to clarify under what circumstances their property would be covered if there was a flood.

Fairmead didn't respond. So Mr and Mrs T brought their complaint to this service. They said that when they took the policy out 18 months before, they were verbally assured that they would be covered for flood damage.

Fairmead did then issue their final response to Mr and Mrs T's complaint on 16 November 2021. They didn't uphold it. They apologised for not answering their questions fully. And said that they understood that they wanted to know whether the policy covered them for flood damage. They confirmed the following from pages 14 and 15 of Mr and Mrs T's policy booklet:

Section 1 - Buildings cover, Part 1 - Buildings

We will pay up to the sum insured shown on your policy schedule unless we specify otherwise

5 Flood

We will not pay for

- *Loss or damage to fences, gates and hedges*
- *Loss or damage caused by underground water*

And noted that as with any claim for loss or damage, they would need to consider any future claim for flood damage under the wider terms and conditions of the policy.

Unhappy, Mr and Mrs T told Fairmead that their policy document stated at one point that they were covered for damage caused by a flood, but a few pages further later stated that they weren't covered for damage by "*water entering the building*". They felt this was contradictory and misleading. They brought their complaint to this service. They said that Fairmead's response had left them still doubting whether or not they were covered by their policy for any damage caused by flooding. They asked this service to help them to find out the facts.

Our investigator didn't think the complaint should be upheld. She said that Mr and Mrs T's policy did provide cover for flood. But that there were exclusions on the policy, so it didn't cover everything. She said that if Mr and Mrs T's property was damaged as a result of a flood, Fairmead would validate the claim based on the terms and conditions and check if any exclusions that may apply. And at this point they would either accept or decline the claim. Our investigator also considered whether the policy had been mis-sold. But she didn't consider that she'd seen any evidence that it had been.

Mr and Mrs T didn't agree with our investigator. They said the policy document had been contradictory. And asked what the distinction was between damage from a flood and damage from water entering a property. They didn't feel there should be any difference.

As agreement couldn't be reached, Mr and Mrs T's complaint has come to me for a final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I'm not going to uphold it. I'll explain why.

Most residential and commercial buildings and contents insurance policies include flood cover as standard. This is designed to cover circumstances where water has entered and built up in a property, causing damage to contents, decorations or the building itself.

Most insurance policies won't define what a 'flood' is. This is the case with Mr and Mrs T's policy. So when a policyholder makes a claim, such insurers must decide whether or not a flood occurred, in the particular circumstances of the claim. Insurers must base their decisions on the terms and conditions of the policy in question. And will allow for any exclusions that apply when making their decision.

Mr and Mrs T's policy documents stated the following:

Cover you've selected

Buildings (and, separately, the same wording under *Contents*):

....*This will cover you against events such as fire, storm, flood, theft, escape of water.*

But after reading the policy booklet, Mr and Mrs T felt that although they were covered for “flood” under their buildings insurance, they weren’t covered for:

- *Loss or damage caused by underground water*

And they also noted that section 16. *Accidental damage* said that the cover excluded “*Damage caused by water entering the buildings*”. They felt that this meant that they weren’t covered for any damage by what Fairmead might consider a “flood”. They felt “flood” usually meant “*water entering from an external source*”.

So they asked Fairmead to confirm what insurance they did have against flood. And they asked them to define the word.

Mr and Mrs T raised similar questions about the wording in the policy document about their Contents insurance. They wanted a detailed, clear explanation. They said they’d been assured when they took out the policy that they would be covered for damage to buildings and contents by any flood.

Regarding the exclusion to the Buildings cover for “*Loss or damage caused by underground water*”, I can confirm that this is a common exclusion under home insurance policies. Many insurers won’t cover loss or damage caused by rising groundwater levels.

Regarding the Accidental Damage cover, Mr and Mrs T have said that they don’t think there should be any difference between damage from a flood and damage from water entering a property. I agree that these are practically the same thing. But I can see that our investigator has already noted that if Mr and Mrs T’s property suddenly had water entering their building as a result of accidental damage, Fairmead may rely on the exclusion under the policy not to cover damage from “*water entering from an external source*”. This exclusion applies only under the accidental damage part of the policy. I acknowledge that Mr and Mrs T’s main concern was that as they live in a flood zone, they wanted to be sure of flood cover. But I’m satisfied that the policy only excludes damage from “*water entering from an external source*” under the accidental damage section of the policy. And I consider that this is a reasonable and clearly worded exclusion.

I’ve carefully considered what Mr and Mrs T have said. But I’m afraid I don’t agree that Fairmead have been ambiguous or that the policy document is unclear. I say this because Fairmead have explained that they would need to consider any claim for flood damage under the wider terms and conditions of the policy. This would include allowing for any exclusions that might apply, as I mentioned above. Without knowing the circumstances of a future flood claim, it wouldn’t be fair or reasonable to ask them to cover all claims for flood damage.

I’ve also considered what Mr and Mrs T said they were told when they took out the policy. I’m not persuaded that they were told their policy would cover them for “any” flood, for the reasons I’ve already described. But I am satisfied that it was reasonable for Mr and Mrs T to be assured that their policy had flood cover. It did have flood cover. And if Mr and Mrs T had made a claim for flood damage, I’m satisfied that Fairmead would’ve covered the claim if the claim could be validated against the terms and conditions, and if no exclusions applied.

I acknowledge that Fairmead’s answer to Mr and Mrs T’s questions, and my decision here, will be disappointing to Mr and Mrs T. I know they’ve now purchased a different home insurance policy. And that the premiums are higher. Mr and Mrs T consider that this is

because they've included flood cover. But I can't say that this means that their policy with Fairmead was mis-sold. The policy with Fairmead did have flood cover.

I do understand why Mr and Mrs T want to be certain that they are covered under all circumstances if their property sustains flood damage. But I don't consider that any insurance company can reasonably be asked to provide such confirmation. Therefore it wouldn't be fair or reasonable for me to ask Fairmead to do anything here.

My final decision

I don't uphold this complaint for the reasons above.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr T and Mrs T to accept or reject my decision before 18 April 2022.

Jo Occleshaw
Ombudsman